NEIGHBOURHOOD

THE RING OF FIRE

NOT JUST TURMOIL IN BANGLADESH, INSTABILITY IN PAKISTAN OR HOSTILITY FROM CHINA, RECENT DEVELOPMENTS IN OTHER PROXIMATE COUNTRIES HAVE ALSO GIVEN INDIA CAUSE FOR CONCERN

Graphic by NILANJAN DAS

PAKISTAN

Real GDP growth rate: (-)0.2%

GDP: $341 bn

Per capita income: $1,407

Population: 240 mn

THE CRISIS

The 2024 general election sees a coalition government take charge with Shehbaz Sharif of the Pakistan Muslim League (Nawaz) as PM. But the economic crisis—an external debt burden and high inflation—threatens its stability along with a resurgent Imran Khan

INDIA'S WORRY

- The series of terror strikes in Jammu by Pakistan-backed militants reveal the country's new game plan to disrupt the assembly election in J&K
- With Pakistan completely dependent on China for bailouts, Beijing will use it as a pawn to needle Indian security forces

INDIA

Real GDP growth rate: 7.8%

GDP: $3.6 tn

Per capita income: $2,500

Population: 1.43 bn

MALDIVES

Real GDP growth rate: 4.4%

GDP: $6.7 bn

Per capita income: $12,667

Population: 0.5 mn

THE CRISIS

Pro-China Mohamed Muizzu wins the election on an "India Out" policy and is appointed President in November 2023 and sets about dismantling India's bilateral projects and cancelling earlier agreements

INDIA'S WORRY

- Muizzu has signed 20 agreements with China, thus ending the Maldives' dependence on India for food imports, health facilities and trade
- China plans to develop a naval base in the Maldives, posing a threat to India's security and its Indian Ocean strategic initiatives

SRI LANKA

Real GDP growth rate: (-)2.3%

GDP: $84.4 bn

Per capita income: $3,830

Population: 22 mn

THE CRISIS Sri Lanka endured its severest economic crisis in 2022; President Gotabaya Rajapaksa was ousted. His successor Ranil Wickremesinghe stabilised the economy but the upcoming presidential polls could prove divisive

INDIA'S WORRY

- While India's role during the crisis was applauded, China's influence in Sri Lanka has endured
- The election may see the return of inimical political forces that could thwart India's plans to expand strategic cooperation with Lanka